Business Law (LAM 1101) – Coursework Two

Makerere University Business School | Bachelor of Business Administration, Year One

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Main laws relied on: Contracts Act, 2010 · Sale of Goods and Supply of Services Act, 2018 · Evidence Act · Penal Code Act · Anti-Corruption Act, 2009 · Common law (decided cases).

Method: Each scenario is answered using **I.L.A.C.** – the **I**ssue (the legal question), the **L**aw (rules and cases), the **A**pplication (how the law fits the facts) and the **C**onclusion (our advice).

(Text in green ink applies the law to the facts of the question.)

Introduction

The question raises five separate sets of facts. Each one involves a different area of business law:

1. **Ssemanda v KATO Events Ltd** – whether a small-print clause on a receipt (an **exemption clause**, i.e. a clause that tries to remove a party's liability) protects KATO from paying for Ssemanda's injury.
2. **Mugisha v Okello** – Mugisha's rights after being punched and robbed of his iPhone 16, and whether Okello's admission can be used against him.
3. **ASP Namutebi v Mugisha** – whether a promise to pay a police officer to come and give evidence is a binding contract (**consideration** and **legality**).
4. **Bukenya v Nakato** – whether an agreement to sell calves that were not yet born (**future goods** and a **contingent contract**) can be enforced.
5. **Ssemanda v Achen** – what a seller can do when the buyer's mobile money payment is cancelled during delivery (**rights of an unpaid seller**).

First, we note what a contract is. Under **section 10(1) of the Contracts Act, 2010**, a contract is an agreement made with the free consent of parties who have capacity to contract, for a lawful consideration and with a lawful object, with the intention to be legally bound. Most of the issues below turn on one of these ingredients.

Part One: Ssemanda v KATO Events Ltd

Issues

1. Whether there was a valid contract between Ssemanda and KATO Events Ltd.
2. Whether the small-print clause on the back of the receipt became part of that contract.
3. Even if it did, whether the clause covers injury caused by a defective (weak) chair.
4. What remedies are available to Ssemanda.

1. Was there a contract?

Yes. KATO offered chairs for hire, Ssemanda accepted, and he paid Ushs. 25,000/= for each chair. All the ingredients in section 10(1) of the Contracts Act are present: agreement, consideration (the money and the use of the chairs), capacity, a lawful purpose and an intention to be bound, since this was a business deal (Edwards v Skyways (1964)). It is a

contract of **hire of goods**, which is covered by the **Sale of Goods and Supply of Services Act, 2018** as a contract to supply goods and services.

2. Did the small-print clause become part of the contract?

The law. An exemption clause binds a person only if it was properly made part of the contract. Courts ask three questions:

- **Was it signed?** If a person signs a document, he is bound by what it says even if he did not read it – L'Estrange v Graucob (1934). Ssemanda did not sign anything; he was simply handed a receipt.
- **Was notice given before or at the time the contract was made?** A clause brought to a person's attention after the contract is made is too late – Olley v Marlborough Court Hotel (1949), where a notice in a hotel bedroom did not count because the contract was made at the reception desk.
- **Was the document one that a reasonable person expects to contain terms, and were reasonable steps taken to bring the terms to his attention?** – Parker v South Eastern Railway (1877). The more unusual or harsh the clause, the clearer the notice must be – Thornton v Shoe Lane Parking (1971); Interfoto v Stiletto (1989).

The key case. The facts are almost the same as Chapelton v Barry Urban District Council (1940). Mr. Chapelton hired two deck chairs on a beach, paid, and was given a ticket. On the back of the ticket was a clause saying the council was not liable for any accident. The chair collapsed and he was injured. The Court of Appeal held that the ticket was a **mere receipt** – a document that a reasonable person would see only as proof of payment, not as a document containing contract terms. The clause therefore did not form part of the contract, and the council was liable.

Application. Like Mr. Chapelton, Ssemanda paid for the chairs and was given a **receipt**. A reasonable person at the Nyege Nyege festival would treat a receipt as proof that he paid, not as a document of conditions. The clause was in **small print on the back** and was "unknown to him". There is no evidence that KATO put up a notice at the hiring point or told him about it before he paid. The contract was complete once he paid and took the chairs, so any terms on the receipt came too late (Olley). In addition, the clause is very harsh – it removes all liability even for injury – so KATO needed to draw it to his attention very clearly (Thornton). It did not.

Conclusion on this point: the exemption clause is **not part of the contract** and KATO cannot rely on it.

3. Even if the clause were part of the contract, does it protect KATO?

- **Reading against the maker (the *contra proferentem* rule):** if a clause is unclear, courts read it in the way least favourable to the party relying on it – Houghton v Trafalgar Insurance (1954).
- **Negligence must be clearly covered:** a clause will only exclude liability for negligence (carelessness) if it says so in clear words, or if negligence is the only possible kind of liability – Canada Steamship Lines v The King (1952); White v John Warwick (1953); Hollier v Rambler Motors (1972).

Application. The clause speaks of not guaranteeing his "safety while you use the chairs". It does not mention negligence or KATO's duty to supply strong, safe chairs. Read strictly against KATO, it may cover accidents from how a person uses the chair (e.g. falling off it while dancing), but not a chair that simply collapses because it was weak or badly maintained. So even if it were a term, it would probably not protect KATO.

4. Implied terms in the contract of hire

The **Sale of Goods and Supply of Services Act, 2018** puts promises into contracts automatically. Under **section 15**, where a business supplies goods of a kind it normally supplies, the goods must be reasonably **fit for their purpose** and of **merchantable (acceptable) quality**. Under **section 18**, a business supplying a service must do so with **reasonable care and skill**. The purpose of a camping chair is obvious – to sit on it – and the buyer does not need to say so (Priest v Last (1903)).

Application. A chair that collapses when an adult sits down to rest is plainly not fit for its purpose. KATO is in the business of hiring out event chairs. It therefore breached the implied condition of fitness for purpose and quality.

5. Liability in tort (negligence)

Apart from the contract, a person who supplies goods owes a duty of care to people who will use them – Donoghue v Stevenson (1932). KATO had a duty to check that its chairs were strong and safe; it failed (breach); and that failure caused Ssemanda's serious leg injury (damage). An exemption clause that never became part of the contract cannot defeat this claim either.

Advice to Ssemanda

- He has a strong case against **KATO Events Ltd** for **breach of contract** (breach of the implied term of fitness for purpose) and for **negligence**.

- *The receipt clause does not protect KATO (Chapelton v Barry UDC).*
- *He can claim **damages** (money compensation) for medical bills, pain and suffering, loss of earnings while he cannot work at his shop, and the money paid for the chairs. Under **section 61 of the Contracts Act**, he is entitled to compensation for loss caused by the breach, as long as it is not too remote. Injury from a collapsing chair is a natural and expected result.*
- *He should keep the receipt, medical reports, photos of the broken chair and the names of witnesses (e.g. Mugisha). Since KATO is a company, he should sue the company itself.*

Part Two: Mugisha v Okello

Issues

1. What civil wrongs (torts) and crimes did Okello commit against Mugisha?
2. Can Okello's admission to ASP Namutebi be used against him at his trial?
3. What can Mugisha recover?

1. Civil wrongs (torts)

A **tort** is a civil wrong for which the victim can sue for compensation, even where there is no contract.

- **Battery:** intentional, direct and unlawful physical contact with another person. Punching Mugisha and injuring his right eye is a clear battery – Cole v Turner (1704) (the least touching in anger is a battery).
- **Assault:** making a person fear that force is about to be used on him. If Mugisha saw the punch coming, this is also an assault.
- **Trespass to goods and conversion:** taking another person's goods and dealing with them as if they were your own. Grabbing and running off with the iPhone 16 is conversion.

Application: Mugisha can sue Okello in a civil court for damages for his eye injury (medical costs, pain, any lasting damage to his sight) and for the return of the phone or its value. Being a "known criminal" does not give Okello any defence.

2. Crimes

Under **sections 285 and 286 of the Penal Code Act**, a person who steals and, at or immediately before or after the time of stealing, uses or threatens violence to obtain or keep the thing stolen, commits **robbery**. Where the violence causes grievous harm, or a deadly weapon is used, it becomes **aggravated robbery**, which carries the heaviest punishment.

Application: Okello punched Mugisha and grabbed the phone, so the State (through the Director of Public Prosecutions) can charge him with robbery, or aggravated robbery if the eye injury is found to be grievous harm. Mugisha is the complainant and main witness. A criminal case is brought by the State to punish; Mugisha's civil claim for compensation is separate, although the criminal court may also order Okello to pay compensation to him and to return the phone if it is recovered.

3. Can Okello's admission be used? (Evidence)

An admission of guilt made by an accused person is called a **confession**. Under the **Evidence Act (section 23)**, a confession made by a person while in police custody cannot be used against him unless it was made in the immediate presence of a police officer of or above the rank of **Assistant Inspector of Police**, or a magistrate. The confession must also be made **voluntarily** – not through threats, force or promises (section 24).

Application: Okello admitted stealing the phone upon arrest, in the presence of **ASP** (Assistant Superintendent of Police) Namutebi. An ASP is higher in rank than an Assistant Inspector, so the confession meets the rank requirement. If the court is satisfied that it was made voluntarily, it can be used against Okello. ASP Namutebi is therefore an important witness, which explains why the court asked Mugisha to bring her.

Advice to Mugisha

- Continue supporting the criminal case; Okello faces a charge of robbery.
- Bring a civil claim in tort for battery/assault and conversion, or ask the trial court for a compensation order. Keep medical reports on his eye and the phone's purchase receipt and serial number (IMEI).
- To secure the ASP's attendance, he should **ask the court to issue a witness summons** to her, not pay her (see Part Three).

Part Three: ASP Namutebi v Mugisha

Issue

Whether Mugisha's promise to pay ASP Namutebi Ushs. 500,000/= to appear in court as a witness is a binding contract that she can enforce.

The law

(a) Consideration. Under section 10(1) of the Contracts Act, a contract needs **lawful consideration** – something of value given in return for a promise. Doing something you are **already legally bound to do** is not good consideration for a new promise:

- Collins v Godefroy (1831): a man who had been ordered by the court (subpoenaed) to give evidence was promised payment for his time. He could not recover it, because he was already under a legal duty to attend court.
- Glasbrook Bros v Glamorgan County Council (1925): police may recover payment only where they provide services **beyond** their normal public duty (there, stationing officers at a mine at the owner's request).
- Harris v Sheffield United FC (1988): policing a football match at the club's request went beyond public duty, so payment was due.
- Compare Ward v Byham (1956) and Williams v Roffey Bros (1991), where doing a little more than the existing duty, or giving the promisor a real practical benefit, was enough.

(b) Legality and public policy. The consideration and the object of an agreement must be **lawful**. An agreement is unlawful if it is forbidden by law, would defeat the law, or is **opposed to public policy**, and such an agreement is **void** (has no legal effect). The courts will not help a person to enforce an illegal agreement – Holman v Johnson (1775); Parkinson v College of Ambulance (1925), where money paid to buy an honour (a title) could not be recovered.

(c) Corruption. Under the **Anti-Corruption Act, 2009**, it is an offence for a public officer to ask for or accept money or any advantage in return for doing, or not doing, any act in the performance of public functions, and also an offence to offer it.

Application

1. **Existing public duty:** ASP Namutebi is a police officer. She was on night patrol duty, witnessed the arrest and heard Okello's confession in her official capacity. Giving evidence

about what she saw and heard on duty is part of her **public duty** as a police officer, and the court had already asked for her evidence. By appearing in court she did nothing more than her duty required. As in Collins v Godefroy, this is **no consideration** for Mugisha's promise.

2. **Nothing extra was given:** unlike Glasbrook Bros, she provided no special service beyond her duty. Claims that she was "busy" or had "no transport" do not turn a public duty into a private paid service. Transport for witnesses is a matter for the police and the court, which can pay lawful witness allowances.

3. **Public policy and illegality:** paying a prosecution witness (and a public officer) to give evidence undermines the fairness of trials and looks like an inducement or bribe. Such an agreement is opposed to public policy and is **void**; it may even expose both of them to investigation under the Anti-Corruption Act. A court will not lend its help to enforce it.

4. **Intention to create legal relations** is not enough on its own: even if both of them were serious, a promise without lawful consideration and a lawful object cannot be a contract.

Advice

- To **ASP Namutebi**: she **cannot successfully sue** Mugisha for the Ushs. 500,000/=. There was no valid consideration, and the agreement is against public policy. Pursuing the claim could expose her to disciplinary action and investigation for corruption.
- To **Mugisha**: he is **not legally bound** to pay. However, he should not have made the offer. In future, the correct step is to ask the court to issue a **witness summons**, which legally compels the witness to attend.

Part Four: Bukenya v Nakato

Issues

1. Whether clause 6 ("Nakato hereby agrees to sell to Bukenya two calves if her Friesian cows give birth") created a binding contract for the sale of goods.
2. Whether Nakato can refuse to sell now that the cows have given birth.
3. What remedies are available to Bukenya.

The law

(a) Contract of sale and future goods. A contract of sale of goods is one where the seller transfers, or agrees to transfer, ownership of goods to the buyer for a money price. Calves (livestock) are goods. Under the **Sale of Goods and Supply of Services Act, 2018**, a contract may be for **existing goods** (already owned by the seller) or **future goods** (to be produced or acquired by the seller after the contract is made). A contract for future goods is an **agreement to sell**: ownership does not pass until the goods come into existence and are identified for the buyer. A sale may also depend on an event which may or may not happen (a **contingency**).

(b) Contingent contracts. A contingent contract is one to do something only **if** a future uncertain event happens. It cannot be enforced until the event happens, but once the event happens, it becomes enforceable like any other contract. (If the event becomes impossible, the contract becomes void – compare Howell v Coupland (1876), where a crop of potatoes failed through no fault of the farmer.)

(c) Price. The price may be fixed by the contract, left to be fixed in an agreed way, or worked out from the parties' past dealings. If none of these applies, the buyer must pay a **reasonable price**.

(d) Remedies of a buyer when the seller refuses to deliver. The buyer can sue for **damages for non-delivery**, usually the difference between the contract price and the market price for similar goods at the time delivery should have been made. A court may order **specific performance** (forcing the seller to deliver) only where the goods are specific or ascertained and damages would not be enough, e.g. where the goods are unique – Behnke v Bede Shipping (1927). For ordinary goods easily bought elsewhere, damages are the remedy – Cohen v Roche (1927).

Application

1. **A valid contract:** the clause is part of a written contract between Nakato and Bukenya. This is a business transaction in farm produce, so intention to create legal relations is presumed. The fact that Nakato is Ssemanda's girlfriend makes no difference, because the contract is with Bukenya, not with Ssemanda.

2. **Future goods and contingent contract:** when the contract was made, the calves did not exist. The calves were therefore **future goods**, and the contract was an **agreement to sell** that depended on the cows giving birth. On **10th October 2026**, the cows gave birth. The condition has been met, so Nakato's promise is now binding. She cannot withdraw simply because she has lost interest; doing so is a **breach of contract**. Her refusal also shows clearly that she will not perform, which allows Bukenya to treat the contract as broken and sue at once (Hochster v De La Tour (1853)).

3. **Ownership has not passed:** because the calves have not yet been chosen and handed over (if there are more than two calves, which two is still undecided), ownership remains with Nakato. Bukenya therefore cannot claim the calves as his own property; his claim is for breach of the agreement to sell.

4. **Price:** clause 6 does not state a price. If the rest of the contract or the parties' dealings do not fix one, Bukenya must pay a **reasonable price** – e.g. the current market price of Friesian calves in Kakiri and Wakiso district. A missing price does not cancel the contract.

5. **Possible defences for Nakato:** she may argue that the clause was vague. However, "two calves", "her Friesian cows" and "if they give birth" are clear enough for a court to enforce. She could escape only if the agreement lacked consideration (e.g. Bukenya gave or promised nothing at all) or if it was obtained by fraud, coercion or mistake, none of which appears from the facts.

Advice to Bukenya

- He has a valid claim for **breach of contract**. He should first write to Nakato (a demand letter) asking her to deliver the two calves within a fixed time on payment of the agreed or a reasonable price.
- If she still refuses, he can sue for **damages for non-delivery** – the extra cost of buying two similar Friesian calves elsewhere, plus any foreseeable loss (section 61, Contracts Act).
- **Specific performance** is unlikely, because Friesian calves can usually be bought from other farmers, unless he can show these particular calves are special (e.g. a rare breeding line).

Part Five: Ssemanda v Achen

Issues

1. What kind of contract exists, and when does ownership of the soft drinks pass to Achen?
2. What is the effect of the cancelled mobile money payment of Ushs. 1,920,000/=?
3. Is Ssemanda an **unpaid seller**, and what can he lawfully do now?

1. The contract

This is a contract for the **sale of goods**: 100 crates of soft drinks for Ushs. 2,400,000/=, i.e. **Ushs. 24,000/= per crate**, with payment **before delivery**. The parties agreed that delivery would be made **in instalments** (shifts) because the tricycle could not carry everything at once.

The crates are **unascertained goods** (100 crates out of Ssemanda's general stock). Ownership in unascertained goods does not pass until goods of the right kind are set aside and appropriated to the contract with the parties' consent, usually on delivery. So ownership of the **20 crates already delivered** has passed to Achen, while ownership of the remaining **80 crates** remains with Ssemanda.

Under **section 11** of the 2018 Act, time of payment is not normally treated as essential. In this case, however, the parties expressly agreed that payment was to be made **before** delivery, so Ssemanda is not obliged to deliver unless he has been paid.

2. Effect of the cancelled mobile money payment

Payment by mobile money, like payment by cheque, is a **conditional payment**: the debt is cleared only if the money actually reaches the seller and is not reversed. If a cheque is dishonoured, the original debt revives – Re Romer and Haslam (1893). The same principle applies to an electronic transfer that is cancelled or reversed. The **Electronic Transactions Act, 2011** recognises payments and messages sent electronically, and the **National Payment Systems Act, 2020** regulates mobile money transactions and reversals.

Application: the reversal of Ushs. 1,920,000/= means that this part of the price is **unpaid**. Interestingly, the cash Achen paid (Ushs. 480,000/=) is **exactly the price of 20 crates** (20 × 24,000). So Ssemanda has been fully paid for the crates already delivered. What remains unpaid is the price of the 80 crates not yet delivered.

3. Rights of an unpaid seller

A seller is an **unpaid seller** when the whole price has not been paid, or when a payment instrument (such as a cheque) given as conditional payment has been dishonoured. The Sale of Goods and Supply of Services Act, 2018, like the old Sale of Goods Act, gives the unpaid seller the following rights.

A. Rights against the goods:

- **Lien:** the right to **keep** the goods in his possession until he is paid, where the goods were sold on terms that payment comes first, or the price is due. Where part of the goods has been delivered, he may keep the rest, unless the part delivery shows an agreement to give up the lien.
- **Stoppage in transit:** where the buyer becomes insolvent (unable to pay its debts), the seller may stop goods that are in the hands of an **independent carrier** on their way to the buyer and take them back.
- **Resale:** the seller may resell the goods where they are perishable, where he has given the buyer notice of his intention to resell and the buyer does not pay within a reasonable time, or where the contract gives him that right – R.V. Ward v Bignall (1967). He may then claim any loss from the original buyer.

B. Rights against the buyer personally:

- **Action for the price** where ownership has passed and the buyer refuses to pay.
- **Damages for non-acceptance** where the buyer wrongfully refuses to accept and pay for the goods (difference between the contract price and the market price), together with other foreseeable loss under section 61 of the Contracts Act.

Application

1. **Stop the delivery and exercise his lien:** the tricycle had just set off with more crates. If the tricycle and rider belong to Ssemanda (or he hired them himself), the goods are still in his own possession, not with an independent carrier. He should immediately **call the rider back** and keep the remaining 80 crates. This is a **lien**: payment was due before delivery, and part delivery of 20 crates did not show an intention to give up his right over the rest.
2. **Stoppage in transit** would apply only if the drinks were with an independent carrier and Achen was insolvent. There is no evidence that she is insolvent, so the lien is the more suitable right here.
3. **Check the payment:** Ssemanda should quickly confirm with his mobile money service provider (e.g. MTN MoMo or Airtel Money) whether the money was truly reversed. The

message could be a **fraudulent (fake) SMS**, a common trick in Kampala. If the money is still on his account, the contract continues and he should deliver.

4. **Contact Achen and give notice:** he should inform Achen in writing (SMS/WhatsApp/letter) that the Ushs. 1,920,000/= has been reversed and that the remaining 80 crates will be delivered as soon as payment is made. She may simply have made an innocent mistake.

5. **If Achen does not pay:** since the wedding is time-bound, Ssemanda can give her notice of his intention to resell. If she still fails to pay within a reasonable time, he may **resell** the 80 crates to other customers, and claim from Achen any loss (e.g. if he must sell below Ushs. 24,000/= per crate) as **damages for non-acceptance**.

6. **The 20 delivered crates:** ownership has passed and the Ushs. 480,000/= in cash fully covers them, so he has no loss there. He cannot take them back, and he does not need to.

7. **Possible fraud:** if Achen deliberately paid and then reversed the payment to get the drinks without paying, this may be the crime of obtaining goods by false pretences under the Penal Code Act, which Ssemanda can report to the police.

Advice to Ssemanda

- He is an **unpaid seller** for Ushs. 1,920,000/=.
- He should **stop the delivery** and keep the remaining 80 crates under his **lien** until paid.
- He should verify the reversal with his mobile money provider, and keep all messages and transaction IDs as evidence.
- He should notify Achen and demand payment. If she does not pay within a reasonable time, he may **resell** the crates and sue her for any loss.
- He is already fully paid for the 20 crates delivered, so his risk of loss is small if he acts quickly.

Summary of Advice

Party	Main legal point	Advice
Ssemanda v KATO	Exemption clause on a mere receipt; implied fitness for purpose; negligence.	Clause not binding (Chapelton v Barry UDC). Sue KATO for damages for his injury.
Mugisha v Okello	Battery, assault, conversion; robbery; confession before an ASP.	Support prosecution; sue for compensation; confession is usable if voluntary.
Namutebi v Mugisha	No consideration for doing a public duty; illegal / against public policy.	Namutebi cannot enforce the promise (Collins v Godefroy). Use a witness summons.
Bukenya v Nakato	Future goods; contingent contract; reasonable price.	Condition met on 10th October 2026; contract binding. Sue for damages for non-delivery.
Ssemanda v Achen	Conditional payment; rights of an unpaid seller.	Stop delivery, keep 80 crates (lien), give notice, resell if unpaid and claim loss.

Conclusion. The scenarios show how the law of contract, sale of goods, tort, criminal law and evidence work together in daily Ugandan life – at a festival, by the lakeside, in court, on a farm in Kakiri and in a shop near MUBS. In each case, the party who understands his legal rights and acts promptly (keeping receipts, records and evidence) is best placed to avoid loss.

— END —